

September 28, 2026

Nido Home Finance Limited: Rating reaffirmed for instruments issued under mortgage loan securitisation transaction

Summary of rating action

Trust Name	Instrument*	Initial Rated Amount (Rs. crore)	Previous Rated Amount (Rs. crore)	Current Rated Amount (Rs. crore)	Rating Action	Financial Sector Regulator [#]
HL Trust 17	Series A1 ABS	57.91	30.41	25.34	[ICRA]AAA(SO); reaffirmed	RBI

*Instrument details are provided in Annexure I; [#]SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Rationale

The asset-backed securities (ABS) are backed by home loan (HL) receivables originated by Nido Home Finance Limited {Nido/ Originator; rated [ICRA]A+; rating watch with developing implications}¹. Nido is also the servicer for the rated transaction.

The rating reaffirmation factors in the build-up of the credit enhancement cover over the future PTC payouts on account of high amortisation and healthy pool performance for the transaction. The rating also draws comfort from the fact that the breakeven collection efficiency is lower than the actual collection level observed in the pool till the August 2026 payout month.

Pool performance summary

Parameter	HL Trust 17
Payout month	August 2026
Months post securitisation	50
Pool amortisation	50.6%
Series A1 ABS amortisation	56.2%
Cumulative collection efficiency ²	97.6%
Loss cum 0+ days past due (dpd; % of initial pool principal) ³	10.5%
Loss-cum-30+ dpd (% of initial pool principal) ⁴	6.4%
Loss-cum-90+ dpd (% of initial pool principal) ⁵	2.8%
Breakeven collection efficiency ⁶ for Series A1 ABS	49.5%
Cumulative cash collateral (CC) utilisation (% of initial CC)	0.0%
CC (as % of balance pool principal)	14.1%
Subordination (as % of balance pool principal)	20.3%
Excess interest spread (EIS; as % of balance pool): Series A1 ABS ⁷	71.4%
Cumulative prepayment rate	38.7%

¹ The current rating rationale of the originator, available at this [link](#), provides its detailed rating history and rating transitions

² (Cumulative current and overdue collections till date)/(Cumulative billing till date)

³ Inclusive of unbilled and overdue principal portion of contracts delinquent, as a % of Initial pool principal

⁴ Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 30 days, as a % of Initial pool principal

⁵ Inclusive of unbilled and overdue principal portion of contracts delinquent for more than 90 days, as a % of Initial pool principal

⁶ Breakeven collection efficiency = Balance ABS cash flows – Cash collateral available/Balance pool cash flows

⁷ (Balance pool cash flows – Balance cash flows to ABS – Originator's residual share)/Pool principal outstanding

Transaction structure

As per the transaction structure, the monthly cash flow schedule comprises the promised interest payout and principal payout (90% of the pool principal billed). The balance principal (10%) is expected to be paid on a monthly basis until the maturity of Series A1 ABS. Any surplus excess interest spread (EIS), after meeting the promised payouts, will flow back to the Originator on a monthly basis. Any prepayment in the pool would be used for the prepayment of Series A1 ABS principal.

Reset of Credit Enhancement

At the Originator's request for resetting the credit enhancement, ICRA has analysed the transaction and the underlying pool. As per ICRA's analysis, the CC required to maintain the present rating is Rs. 3.83 crore (12.0% of balance pool principal) against the existing CC of Rs. 4.49 crore (14.1% of balance pool principal). Based on the pool's performance, the rating for the ABS will remain unchanged even after the CC amount is reset. However, as per regulatory guidelines, the maximum amount of CC that can be released would be restricted to 60% of the difference between the current CC amount and the revised CC amount allowed by ICRA. The CC reset shall be subject to the approval of the ABS investors.

Key rating drivers and their description

Credit strengths

Substantial credit enhancement available in the structure – The rating factors in the build-up of credit enhancement for the trust where the cash collateral has increased to 14% of the balance pool principal as compared to 8.5% at time of securitisation. For the trust, the internal credit support is also available through subordination of ~20%.

Healthy pool performance – Performance of the pool has been strong with cumulative collection efficiency for the trust being above 97% till August 2026 payout month and break-even collection efficiency is lower than the monthly collection efficiency observed in the pool. The pool has reported low to moderate delinquency with 90+ dpd being ~2.8% as of the August 2026 payout month. Further, there have been no instances of cash collateral utilisation for the pool till date owing to strong collection performance and presence of EIS.

Servicing capability of the originator – The company has adequate processes for the servicing of the loan accounts in the securitised pool. It has demonstrated a track record of regular collections and recoveries across a wide geography and multiple economic cycles.

Credit challenges

High obligor concentration – The pool has high obligor concentration with loans outstanding to the top three borrowers accounting for ~14% of the balance pool principal. The pool's performance would thus be highly exposed to the repayment patterns of the top borrowers and the company's ability to limit the slippages of such borrowers.

Exposed to interest rate risk – Exposure to interest rate risk given that the pool has contracts with floating rate and fixed rate loans, while the yield on the securities is fixed.

Risks associated with lending business – The pool's performance would remain exposed to macro-economic shocks, business disruptions and natural calamities that may impact the income-generating capability of the borrowers and their ability to make timely repayments of their loans.

Key rating assumptions

ICRA's cash flow modelling for mortgage-backed securitisation (MBS) transactions involves the simulation of potential delinquencies, losses (shortfall in principal collection during the balance tenor of the pool) and prepayments in the pool. The

assumptions for the loss and the coefficient of variation (CoV) are arrived at after taking into account the past performance of the originator's portfolio and rated pools as well as the performance and characteristics of the specific pool being evaluated. Additionally, the assumptions may be adjusted to factor in the current operating environment and any industry-specific factors that ICRA believes could impact the performance of the underlying pool of contracts.

For the current pool, ICRA has estimated the shortfall in the pool principal collection during their tenure of 3.50% for the pool. The average prepayment rate for the underlying pool is modelled in the range of 6.0% to 20.0%. Various possible scenarios have been simulated at stressed loss levels and prepayment rates and the incidences of default to the investor as well as the extent of losses are measured after factoring in the credit enhancement to arrive at the final rating for the instrument.

Details of key counterparties

The key counterparties in the rated transaction are as follows:

Transaction Name	HL Trust 17
Originator	Nido Home Finance Limited
Servicer	Nido Home Finance Limited
Trustee	Catalyst Trusteeship Limited
CC bank	ICICI Bank Limited
Collection and payout account bank	ICICI Bank Limited

Liquidity position:

PTC Series A1: Superior

The liquidity for the instruments is superior after factoring in the credit enhancement available to meet the promised payout to the investors. The total credit enhancement would be greater than 9 times the estimated loss in the pools.

Rating sensitivities

Positive factors – Not applicable

Negative factors – The sustained weak collection performance of the underlying pool (monthly collection efficiency <90%), leading to higher-than-expected delinquency levels and higher CE utilisation levels, would result in a rating downgrade. Weakening in the credit profile of the servicer (Nido) could also exert pressure on the rating.

Analytical approach

The rating action is based on the performance of the pools till the August 2026 payout month (July 2026 collection month), the present delinquency profile of the pool, the credit enhancement available in the transaction, and the performance expected over the balance tenure of the pool.

Analytical Approach	Comments
Applicable rating methodologies	Securitisation Transactions
Parent/Group support	Not Applicable
Consolidation/Standalone	Not Applicable

About the originator

Nido Home Finance Limited (Nido) is a housing finance company registered with National Housing Bank. It was incorporated in FY2011 following the Group's strategy of creating a footprint in the affordable housing space. As a part of the Group's positioning exercise, the company was rechristened Nido Home Finance Limited (Formerly Edelweiss Housing Finance Limited)

in May 2023. In recent years, the company has realigned its strategy to focus on low ticket-sized home loans. Nido reported a net profit of Rs. 23 crore in FY2026. As of March 31, 2026, its capitalisation profile was characterised by a net worth of Rs. 853 crore, a gearing of 4.49 times and a capital adequacy ratio of 28.80%.

Edelweiss Financial Services Limited (parent)

Incorporated in 1995, Edelweiss is a SEBI-registered merchant banker with a presence across multiple businesses in the financial services space through its subsidiaries. Currently, the Group is engaged in retail lending, alternatives, asset management, life & general insurance, and asset reconstruction. The Group had an established position in the wealth management business before it unlocked the value in it by selling its controlling stake in FY2021.

On a consolidated basis, Edelweiss reported a total income of Rs. 10,865 crore and profit after tax of Rs. 680 crore for FY2026 compared to Rs. 9,519 crore and Rs. 536 crore, respectively, in FY2025. As on March 2026, the Group's capitalisation profile was characterised by a net worth of Rs. 5,944 crore and gearing of 3 times.

Key financial indicators

Edelweiss Financial Services Limited (consolidated)	FY2024	FY2025	FY2026
Total income	9,602	9,519	10,865
Profit after tax – Including minority interest	528	536	680
Assets under management (AUM)	14,804	12,221	10,986
Gross stage 3	68.9%	68.3%	NA
Capital-to-risk asset ratio (CRAR)#	NA	NA	NA

Source: Company, ICRA Research; #All ratios as per ICRA's calculations; MI – Minority interest; AUM includes net retail loans, wholesale loans, purchase of credit impaired loans, and security receipts (wherein loans were originated by Group entity)

Status of non-cooperation with previous CRA: Not applicable

Any other information: None

Rating history for past three years

Trust Name	Instrument	Current Rating (FY2027)		Chronology of Rating History for the Past 3 Years			
		Initial Amount Rated (Rs. crore)	Current Rated Amount (Rs. crore)	Date & Rating in FY2027	Date & Rating in FY2026	Date & Rating in FY2025	Date & Rating in FY2024
				Sep 28, 2026	Sep 29, 2025	Sep 12, 2024	Sep 22, 2023
HL Trust 17	Series A1 ABS	57.91	25.34	[ICRA]AAA(SO)	[ICRA]AAA(SO)	[ICRA]AAA(SO)	[ICRA]AAA(SO)

Complexity level of the rated instrument

Instrument	Complexity Indicator
Series A1 ABS	Highly Complex

The Complexity Indicator refers to the ease with which the returns associated with the rated instrument could be estimated. It does not indicate the risk related to the timely payments on the instrument, which is rather indicated by the instrument's credit rating. It also does not indicate the complexity associated with analysing an entity's financial, business, industry risks or complexity related to the structural, transactional or legal aspects. Details on the complexity levels of the instruments are available on ICRA's website: [Click Here](#)

Annexure I: Instrument details

Trust Name	Instrument Type	Date of Issuance	Coupon Rate (p.a.p.m.)	Maturity Date	Amount Rated (Rs. crore)	Current Rating and Outlook	Financial Sector Regulator#
HL Trust 17	Series A1 ABS	July 20, 2022	8.50%	November 20, 2051	25.34	[ICRA]AAA(SO)	RBI

Source: Company; #SEBI's grievance redressal/dispute resolution and SEBI investor protection mechanisms such as SCORES and ODR shall not be available for activities and instruments which fall under the regulatory purview of Financial Sector Regulators other than SEBI

Annexure II: List of entities considered for consolidated analysis

Not applicable

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Today, ICRA and its subsidiaries together form the ICRA Group of Companies (Group ICRA). ICRA is a Public Limited Company, with its shares listed on the Bombay Stock Exchange and the National Stock Exchange. The international Credit Rating Agency Moody's Investors Service is ICRA's largest shareholder.

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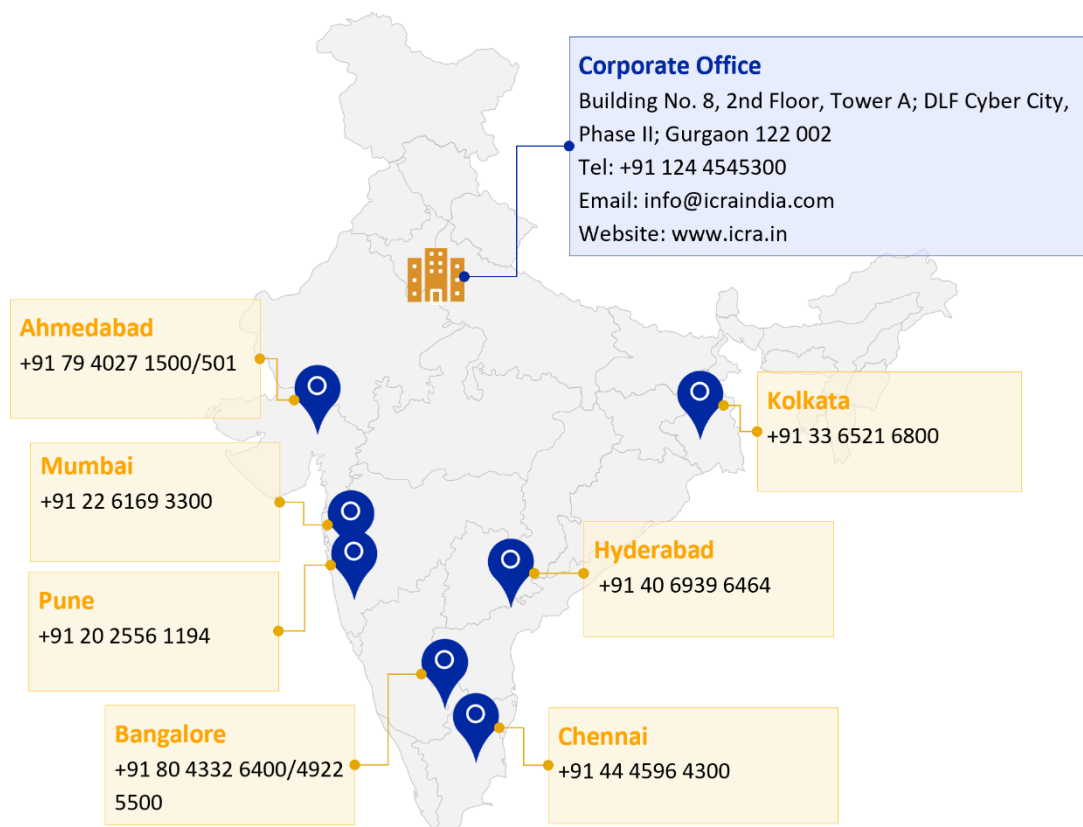


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